

MEMORANDUM

TO: General Counsel
FROM: M&A Practice Group
DATE: December 30, 2024
RE: Interim Operating Covenants Under Merger Agreement

Dear General Counsel,

This memorandum outlines your company's key obligations during the period between signing and closing of the merger agreement. These covenants are designed to preserve the business value for the buyer and maintain operational stability during the interim period.

OPERATIONAL COVENANTS

Affirmative Obligations (What You Must Do)

1. Business Operations

- Maintain the company in good standing under applicable laws
- Conduct business in the ordinary course, with exceptions for an ongoing real estate sale measures
- Use reasonable best efforts to preserve material assets, contracts, and business relationships
- Maintain current insurance levels
- Keep current officers and key employees available

2. Stakeholder Relations

- Preserve relationships with customers, suppliers, partners, platform providers, manufacturers, distributors, lessors, licensors, licensees, creditors, and contractors
- Maintain goodwill with all key business relationships

Restrictive Covenants (What You Cannot Do)

1. Corporate Structure and Governance

- No amendments to charter, bylaws, or organizational documents (except minor administrative changes for wholly-owned subsidiaries)
- No liquidation, dissolution, merger, consolidation, restructuring, or reorganization
- No entry into new business segments unrelated to existing operations

2. Securities and Capital Structure

- No issuance, sale, or delivery of company securities (subject to limited exceptions)
- No stock splits, combinations, or reclassifications
- No declaration of dividends or distributions (subject to specific exceptions)
- No pledging or encumbering of capital stock

3. Financial Matters

- No incurrence of new indebtedness (subject to exceptions)
- No assumption of third-party obligations (except for wholly-owned subsidiaries)
- No creation of liens (other than permitted liens)
- No material changes to accounting practices (unless required by law or GAAP)

4. Employee Matters

- No termination or hiring of any employees or above without buyer consultation
- No adoption or modification of employee benefit plans (subject to exceptions)
- No compensation increases or special bonuses
- No new severance arrangements
- No plant closings or mass layoffs
- No voluntary recognition of labor unions

5. Tax Matters

- No amendment of material tax returns
- No material tax elections or changes in accounting methods
- No settlements of material tax claims
- No extension of limitation periods for material tax claims

6. Commercial Operations

- No capital expenditures outside approved budget
- No material modifications to significant contracts
- No material customer refunds or credits outside ordinary course
- No disposal of material business lines
- No material changes to privacy policies or IT security

Key Monetary Thresholds

- Acquisitions limited to \$25,000,000 per transaction or \$150,000,000 aggregate
- Other specific thresholds as detailed in the disclosure schedules

Process for Exceptions

1. Any proposed actions that may violate these covenants should be promptly brought to our attention
2. We can help assess whether the action falls within any exceptions or requires buyer consent
3. When in doubt, consult with us before proceeding

CRITICAL DEAL-RELATED OBLIGATIONS

1. Public Communications

- Coordinate all deal-related communications with the Acquiror

- Any press releases, employee communications, or public statements about the transaction must be reviewed and approved by the Acquiror in advance
- Exercise particular caution in social media communications that could relate to the transaction

2. Alternative Transaction Proposals

- Exercise extreme caution regarding any incoming inquiries about alternative transactions
- Promptly notify the Acquiror of any alternative transaction proposals received
- Do not encourage or solicit alternative proposals, other than during the go-shop period (March 1-31, 2025)
- Maintain careful records of any interactions with third parties regarding potential transactions
- Consult with counsel immediately upon receiving any alternative proposal

Please note that this summary is not exhaustive, and specific exceptions exist for many of these restrictions. We recommend consulting with us before taking any significant actions that could implicate these covenants.

Best regards,

[lawyer]